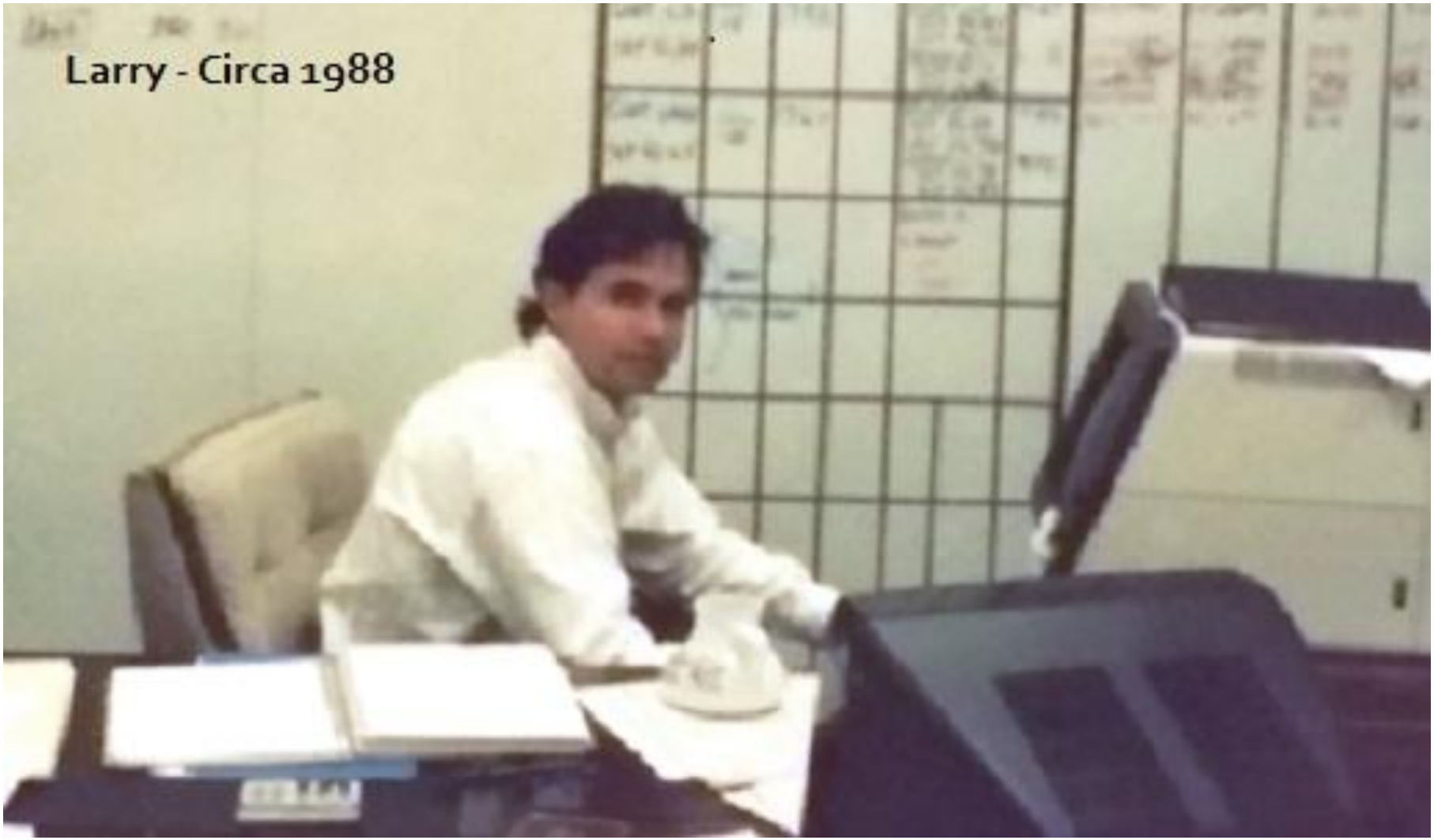
Pairs Trading for Market Neutrality & Big Profits



An Offense/Defense Trading Formula

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Pairs Trading

- ***Fundamentals of a pairs trade***
- **How to identify, select & execute the best pairs for trading**

Step 1. Sector Tracker – Identify Sectors & Stocks Moving with momentum

Step 2. Check correlations (correlation tracker & sector charting)

Step 3. Scanning for volatility momentum break outs, building a watch list

Step 4. Trade Execution & using synthetic options

Step 5. Profit take – Momentum reversal & legging out

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❑ Fundamentals



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Pairs Trading is a market-neutral trading strategy

- It matches a long position with a short position in a pair of correlated instruments such as two stocks, exchange-traded funds (ETFs), currencies, commodities or options.
- Pairs trading looks for strength or weakness in a correlation, and then goes long on the under-performer while simultaneously going short on the over-performer, closing the positions as the relationship returns to its statistical norm.
- The strategy's profit is derived from the difference in price change between the two instruments.

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- This strategy seeks to neutralize certain market risk by taking offsetting long and short positions in instruments with an actual or theoretical relationships.

- This approach seeks to limit exposure to **systemic** changes in price caused by shifts in macroeconomic variables or market sentiment.

- Pairs limit directional risk by going long on one stock (or other instrument) in a particular sector or industry, and pairing that trade with an equal-dollar-value (or *dollar neutral*) short position in a correlated stock.

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- Central to pairs trading is the idea that if the two stocks (or other instruments) are correlated enough, any changes in correlation may be followed by a reversion to the pair's mean trend, creating a profit opportunity.

- Correlations of 0.8 or above are often used as a benchmark for pairs traders (a correlation less than 0.5 is generally described as weak). Ideally, good correlation present over multiple time frames.

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Determining correlation

- The first step in finding suitable pairs is to look for securities that have something in common, and that trade with good liquidity and can be shorted.

- Because of similar market risks, competing companies within the same sector make natural potential pairs and are a good place to start.

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Correlation coefficients are used in statistics to measure how strong a relationship is between two variables.

Meaning:

- A correlation coefficient of 1 means that for every positive increase in one variable, there is a positive increase of a fixed proportion in the other.

For example, shoe sizes go up in (almost) perfect correlation with foot length.

- A correlation coefficient of -1 means that for every positive increase in one variable, there is a negative decrease of a fixed proportion in the other.

For example, the amount of gas in a tank decreases in (almost) perfect correlation with speed.

- The absolute value of the correlation coefficient gives the relationship strength.

- The larger the number, the stronger the relationship. For example, |-.75| = .75, which has a stronger relationship than .65.

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CORRELATION PLOT TABLE

		GS	JPM
GS	Goldman Sachs Group, Inc. (The)	1.000	-
JPM	JP Morgan Chase & Co.	0.884	1.000

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CORRELATION PLOT TABLE

		COP	XLE
COP	ConocoPhillips	1.000	-
XLE	SPDR Select Sector Fund - Energy Select Sector	0.737	1.000

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Example:

- Long $10,000 on stock A and short $10,000 on stock B), usually within the same sector or industry.
- It does not matter which direction the market moves, because directional risk is mitigated.
- Profits depend on the difference in price change between the two instruments, regardless of the market's direction, and are realized through a gain in the *net* position.

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- Stock A and stock B are highly correlated. If the correlation weakens temporarily – stock A moves up and stock B moves down – a pairs trade might exploit this divergence by going long stock A (the stronger issue) and shorting stock B (the under-performing issue).

- If the spread widens, you can profit.



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- It is possible for pairs to profit during a variety of market conditions, including periods when the market goes up, down or sideways, and during periods of either low or high volatility.

- **Pairs or Spreads can move favourably in several ways:**

(1) long rises faster than short rises;
(2) long rises, short moves sideways;
(3) long move sideways, short declines;
(4) long declines more slowly than short declines;
(5) long rises, short declines.

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- **Events that trigger weakness in correlation**

- When two instruments are highly correlated, certain events can cause a temporary weakness in correlation.

- Many factors that would cause price movements would affect correlated pairs equally **(such as Federal Reserve announcements, earnings or geopolitical turmoil).**

- Events that trigger weakness in correlation are generally limited to things that primarily impact only one of the instruments.

For example, divergence can be the result of temporary supply and demand changes within one stock, such as Warren Buffet buying a 4.5 billion stake in COP or a Karl Icon corporate raid.

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Module 2



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❑ How to identify, select & execute the best pairs for trading



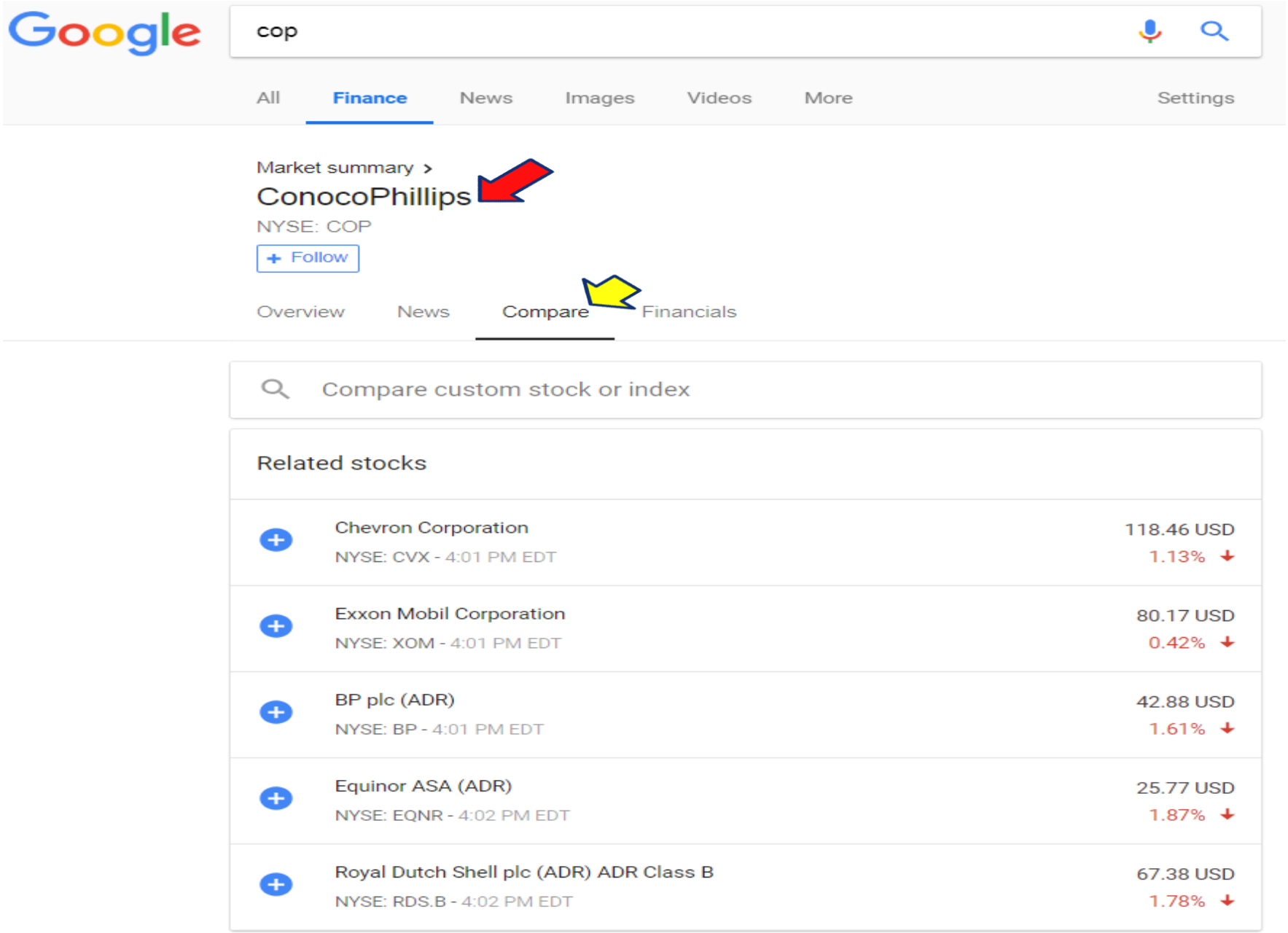
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Step 1: Sector Tracker for Pairs Analysis & Correlation

- **Identify Sectors & Stocks with Momentum or at a Cycle low or High**



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SECTOR SPDR ETFs | FEATURES AND BENEFITS | TOOLS | INVESTMENT STRATEGY

ENERGY as of 4:00 PM ET 08/31/2018

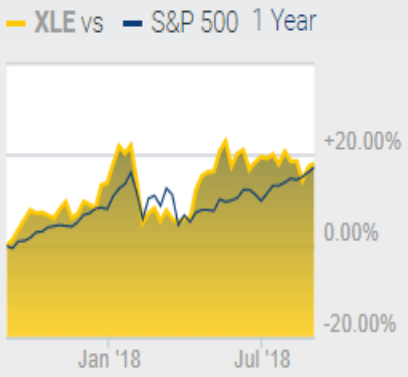
XLE ▼ Last: **$74.41** **-0.61** **(-0.81%)** Volume: **8.91 M**

ADD TO WATCHLIST

Hide Details ▾

Fund Details

Distributions	**Quarterly**
Expense Ratio	**0.13%**
# of Holdings	**31**
Short Selling	**Yes**
Options	**Yes**



Estimate Weight of XLE Components in the S&P 500 as of 08/30/2018

XLE: 5.90%

Holdings and weightings are subject to change.

Resources

Fact Sheet | SAI | Summary Prospectus | Prospectus | Annual Report | Semi-Annual Report | Research |

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Snapshot | Holdings | Performance | Distributions | Premium/ Discount | Charting | News

Create a spreadsheet of index components .CSV FILE .XLS FILE

HOLDINGS AND WEIGHTINGS as of 08/30/2018. Holdings and weightings are subject to change.

Symbol	Company Name	Index Weight	Last	Change	%Change	Volume	52 Week Range
XOM	Exxon Mobil Corp	22.42%	80.17	-0.34	-0.42%	10.70 M	72.16 - 89.30
CVX	Chevron Corp	16.01%	118.46	-1.35	-1.13%	5.28 M	107.50 - 133.88
SLB	Schlumberger Ltd	6.23%	63.16	-1.18	-1.83%	7.95 M	61.02 - 80.35
COP	ConocoPhillips	4.83%	73.43	-0.13	-0.18%	4.15 M	43.48 - 74.43
EOG	EOG Resources	4.60%	118.23	-0.68	-0.57%	2.01 M	83.61 - 131.60
OXY	Occidental Petroleum	4.27%	79.87	-0.26	-0.32%	3.23 M	59.28 - 87.67
VLO	Valero Energy Corp	3.71%	117.88	-1.17	-0.98%	3.69 M	67.24 - 126.98
PSX	Phillips 66	3.63%	118.51	-1.04	-0.87%	2.58 M	82.66 - 123.97
MPC	Marathon Petroleum Corp.	2.78%	82.29	-0.83	-1.00%	6.66 M	50.52 - 84.79

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Step 2: Checking Correlations & Charting for Correlation

Correlation Tracker

Enter a symbol to find high or low correlated securities that may help with your swaps or assist in building a more diversified portfolio.

Security to Select Sector SPDRs | **Multiple Securities** | Portfolio to Select Sector SPDRs | Portfolio to Portfolio

SELECT TIME FRAME & STOCKS/FUNDS

1-Year | 3-Year | 5-Year | 10-Year | Custom Range: To

Enter ticker	COP
Enter ticker	PSX
Enter ticker	APC
Enter ticker	APA
Enter ticker	EOG
Enter ticker	XOM
Enter ticker	XLE
Enter ticker	uso

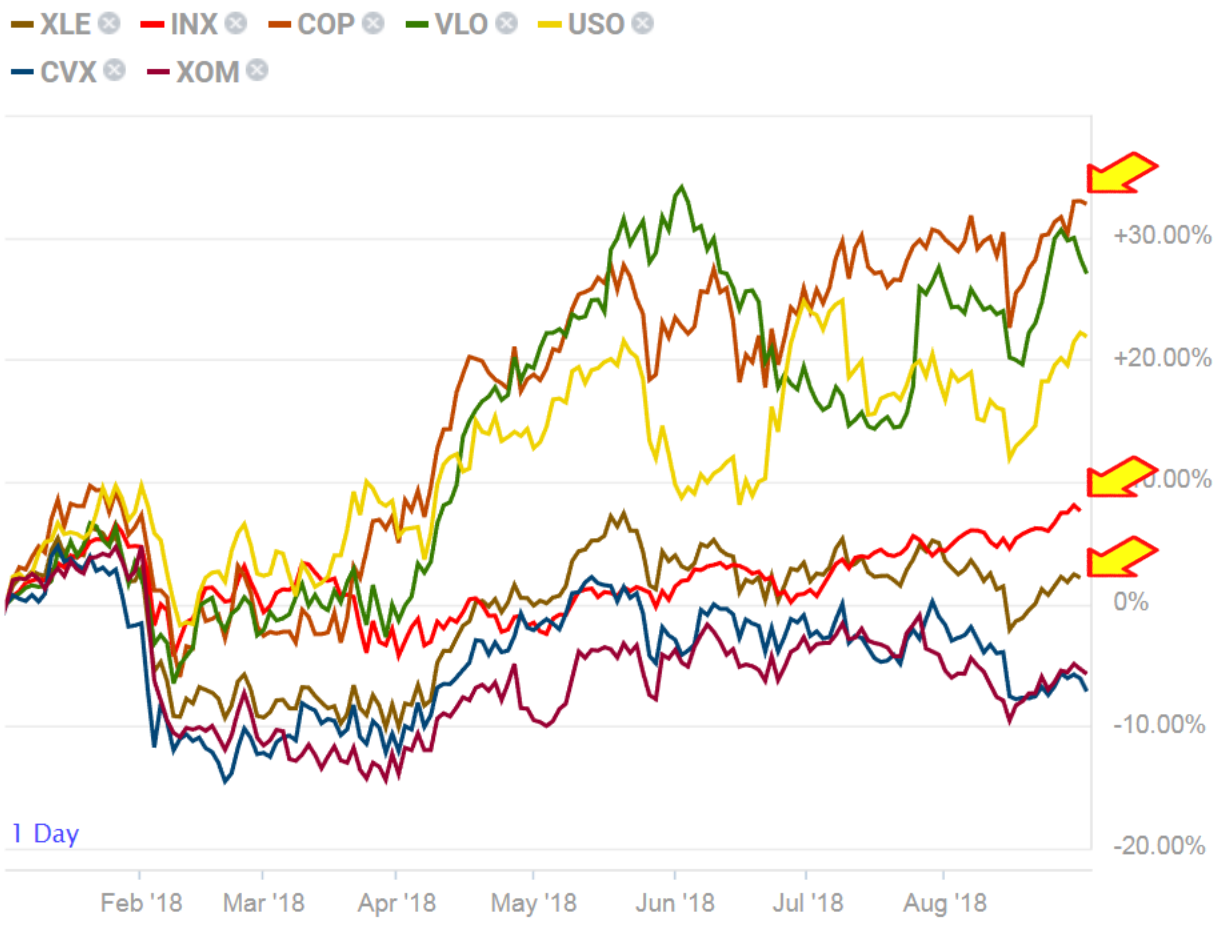
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CORRELATION PLOT TABLE

		COP	PSX	APC	APA	EOG	XOM	XLE	uso
COP	ConocoPhillips	1.000	-	-	-	-	-	-	-
PSX	Phillips 66	0.575	1.000	-	-	-	-	-	-
APC	Anadarko Petroleum Corporation	0.759	0.441	1.000	-	-	-	-	-
APA	Apache Corporation	0.698	0.533	0.644	1.000	-	-	-	-
EOG	EOG Resources, Inc.	0.802	0.551	0.743	0.712	1.000	-	-	-
XOM	Exxon Mobil Corporation	0.748	0.547	0.521	0.689	0.614	1.000	-	-
XLE	SPDR Select Sector Fund - Energy Select Sector	0.865	0.779	0.728	0.802	0.833	0.852	1.000	-
uso	United States Oil Fund	0.711	0.351	0.572	0.566	0.768	0.483	0.621	1.000

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Select Timeframe 1D 5D 1M 3M 6M YTD 1Y 5Y



Select Sector SPDRs

- Communication Services (XLC)
- Consumer Discretionary (XLY)
- Consumer Staples (XLP)
- Energy (XLE)
- Financials (XLF)
- Health Care (XLV)
- Industrials (XLI)
- Materials (XLB)
- Real Estate (XLRE)
- Technology (XLK)
- Utilities (XLU)

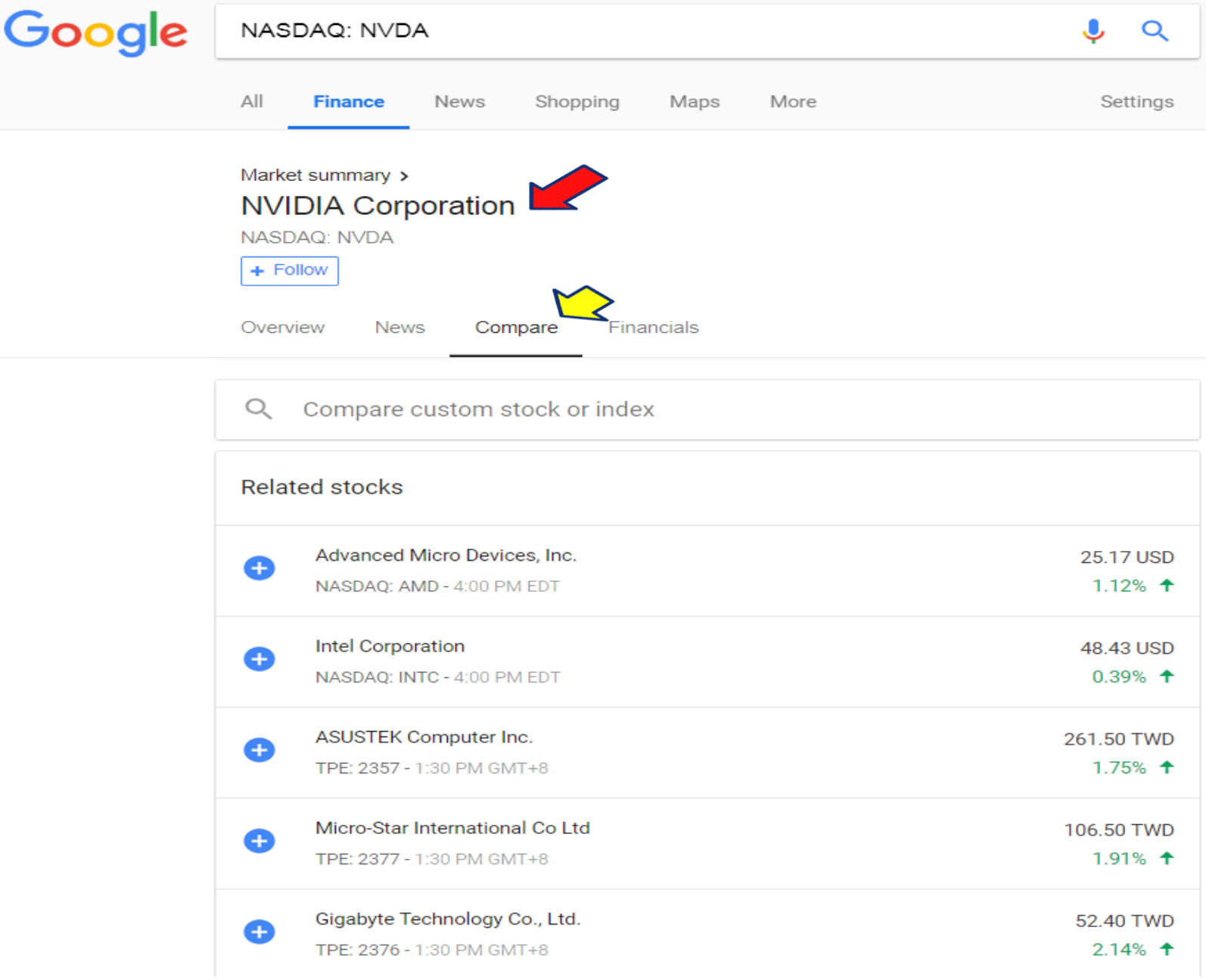
Compare To Index

S&P 500

Compare To Symbol

ENTER SYMBOL/COMPANY

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SECTOR SPDR ETFs | FEATURES AND BENEFITS | TOOLS | INVESTMENT STRATEGY

TECHNOLOGY as of [illegible] PM ET 08/31/2018

XLK ▲ Last: **$75.60** **+0.06** **(+0.08%)** Volume: **10.27 M**

ADD TO WATCHLIST

Hide Details ▾

Fund Details

Distributions	**Quarterly**
Expense Ratio	**0.13%**
# of Holdings	**76**
Short Selling	**Yes**
Options	**Yes**



Estimate Weight of XLK Components in the S&P 500 as of 08/30/2018

XLK: 28.45%

Holdings and weightings are subject to change.

Resources

Fact Sheet | SAI | Summary Prospectus | Prospectus | Annual Report | Semi-Annual Report | Research |

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TECHNOLOGY as of 4:00 PM ET 08/31/2018

XLK ▲ Last: **$75.60** **+0.06** **(+0.08%)** Volume: **10.27 M**

ADD TO WATCHLIST

Show Details ▸

Snapshot | Holdings | Performance | Distributions | Premium/ Discount | Charting | News

Create a spreadsheet of index components .CSV FILE .XLS FILE

HOLDINGS AND WEIGHTINGS as of 08/30/2018. Holdings and weightings are subject to change.

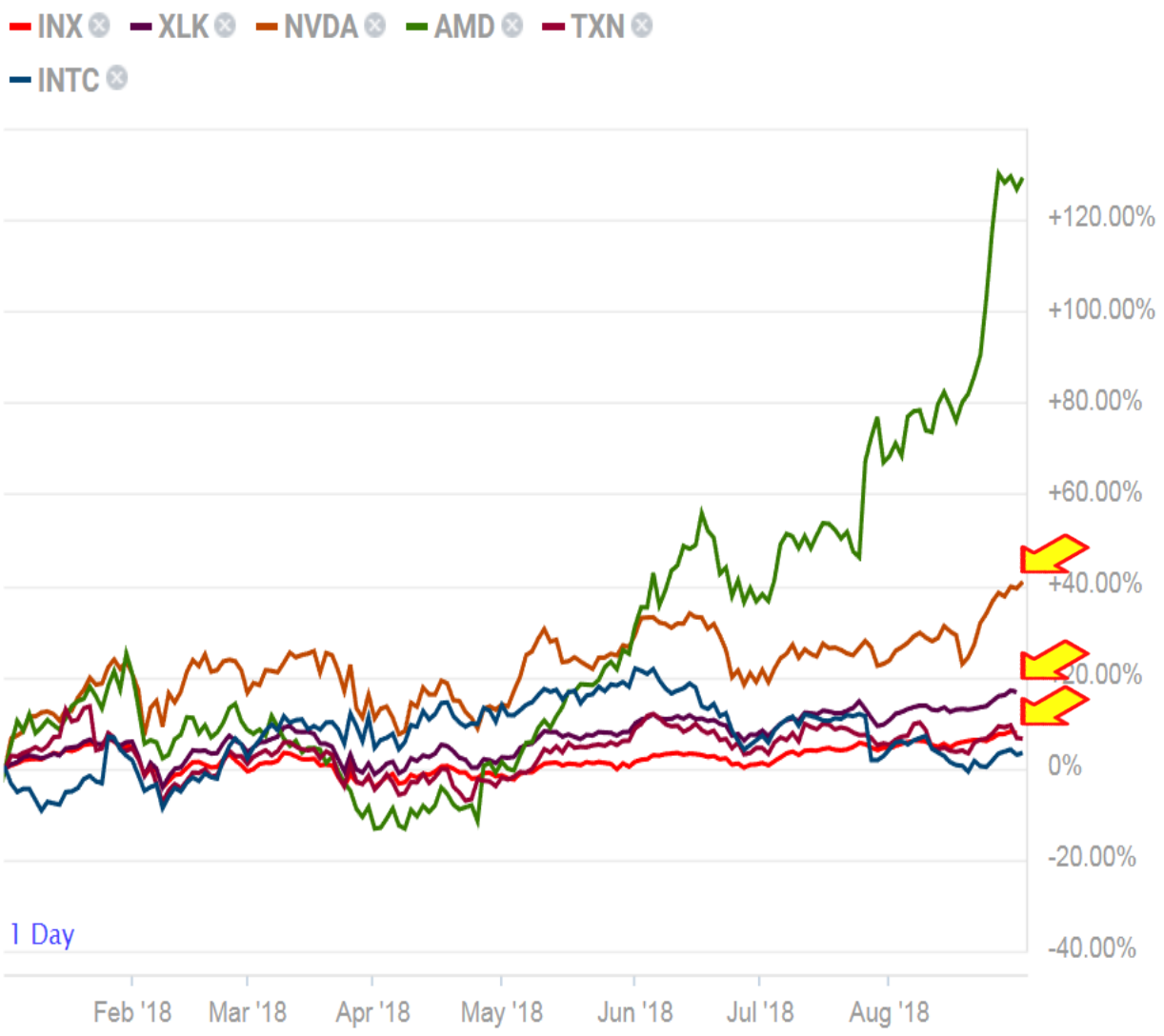
Symbol	Company Name	Index Weight	Last	Change	%Change	Volume	52 Week Range
AAPL	Apple Inc.	15.81%	227.63	+2.60	+1.16%	43.16 M	149.16 - 228.26
MSFT	Microsoft Corp	12.29%	112.33	+0.38	+0.34%	23.22 M	72.92 - 112.61
FB	Facebook Inc A	6.09%	175.73	-1.91	-1.08%	18.02 M	149.02 - 218.62
GOOG	Alphabet Inc C	5.38%	1218.19	-20.93	-1.69%	1.81 M	909.70 - 1273.89
GOOGL	Alphabet Inc A	5.35%	1231.80	-22.64	-1.80%	2.11 M	924.51 - 1291.44
V	Visa Inc A	3.75%	146.89	+0.15	+0.10%	5.79 M	102.26 - 147.71
T	AT&T Inc	3.32%	31.94	-0.02	-0.06%	31.21 M	30.13 - 39.80

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CORRELATION PLOT TABLE

		NVDA	INTC	AMD	TXN	QQQ	XLK	SMH
NVDA	NVIDIA Corporation	1.000	-	-	-	-	-	-
INTC	Intel Corporation	0.553	1.000	-	-	-	-	-
AMD	Advanced Micro Devices, Inc.	0.474	-0.035	1.000	-	-	-	-
TXN	Texas Instruments Incorporated	0.630	0.598	0.418	1.000	-	-	-
QQQ	null	0.680	0.826	0.330	0.810	1.000	-	-
XLK	SPDR Select Sector Fund - Technology	0.704	0.693	0.301	0.822	0.954	1.000	-
SMH	VanEck Vectors Semiconductor ETF	0.812	0.657	0.403	0.845	0.693	0.846	1.000

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Select Sector SPDRs

- Communication Services (XLC)
- Consumer Discretionary (XLY)
- Consumer Staples (XLP)
- Energy (XLE)
- Financials (XLF)
- Health Care (XLV)
- Industrials (XLI)
- Materials (XLB)
- Real Estate (XLRE)
- Technology (XLK)
- Utilities (XLU)

Compare To Index

- **S&P 500**

Compare To Symbol

- ENTER SYMBOL/COMPANY

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Module 3



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Step 3. Scanning for trades

- Using volatility momentum breakouts
- Using Cycles
- Using Seasonality
- Building your watch list



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Examples of correlated instruments:

- Coca-Cola (COKE) & Pepsi (PEP)
- IBM & Hewlett-Packard (HPK)
- Boeing & Industrial Select Sector SPDR (XLI)
- INTC & TXN
- Conoco Phillips (COP) & Exxon Mobil (XOM)
- Conoco Phillips (COP) & Energy Select Sector SPDR (XLE)
- EOG Resources (EOG) & Energy Select Sector SPDR (XLE)
- EOG Resources (EOG) & Conoco Phillips (COP)
- Duke Energy DUK) & American Electric Part (AEP)
- Exxon (XOM) & Chevron (CVX)
- Lowe's (LOW) & Home Depot (HD)
- Under Armour (UA) & NIKE (NKE)
- Dollar Tree (DLTR) & Dollar General (DG) & (WMT)
- Russel 2000 ETF (IWM) & S&P 500 ETF (SPY)
- Energy (XLE) & Materials (XLB)

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S&P 100 List TOS

S&P 100 3

Symbol	Last	Net Chng	SqD	TD	SQ4H	T4H	Sq60	T60	Sq30	T30	SQ5	T5	SQ15	SqW	TW
DHR	103.54	+.53							7.0					18.0	
BA	342.79	-4.11											1.0	17.0	
TWX	98.77	0		3.0			NaN	NaN	NaN	NaN	NaN	NaN	NaN	15.0	
COF	99.09	-.16											8.0	14.0	
DWDP	70.13	-.07							7.0				4.0	12.0	
MCD	162.23	+.44												12.0	
AIG	53.17	-.47												9.0	
C	71.24	-.22										2.0		8.0	
WBA	68.56	+.76								2.0				8.0	
MET	45.89	-.26											3.0	6.0	
IBM	146.48	+.55												5.0	
AXP	105.98	-.25						1.0	1.0				2.0	4.0	
CVX	118.46	-1.35									21.0		2.0	4.0	
MMM	210.92	+.70					7.0		13.0				10.0	3.0	
XOM	80.17	-.34											1.0	3.0	
COP	73.43	-.13					2.0			2.0				2.0	
CL	66.41	+.17												1.0	
MO	58.52	-.16					10.0							1.0	
PM	77.89	-.68												1.0	
T	31.94	-.02										2.0	3.0	1.0	

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NASDAQ 100 List TOS

NASDAQ 100 3

Symbol	Last	Net Chng	SqD	TD	SQ4H	T4H	Sq60	T60	Sq30	T30	SQ5	T5	SQ15	SqW	TW
ASML	205.05	-.15									4.0			16.0	
PCAR	68.42	+.56					3.0						8.0	12.0	
STX	53.54	+.40							7.0					11.0	
TSLA	301.66	-1.49							9.0			2.0		8.0	
WBA	68.56	+.76								2.0				8.0	
MYL	39.13	-.20	11.0				16.0							5.0	
LBTYK	25.89	-.38			8.0									5.0	
LBTYA	26.81	-.37			2.0	1.0					1.0	1.0		5.0	
INCY	73.91	+.26					12.0		33.0				4.0	3.0	
JBHT	120.75	+.94	5.0								6.0			2.0	
ULTA	260.00	+15.59		1.0							1.0			2.0	
CDNS	47.04	-.02					4.0		12.0				35.0		
NFLX	367.68	-3.30					1.0			3.0					
EXPE	130.50	-.95	7.0										9.0		
CSX	74.16	-.05							7.0		4.0		22.0		
SBUX	53.45	+.35					13.0								
TMUS	66.04	+.03	1.0		21.0		10.0		13.0				1.0		
FB	175.73	-1.91											7.0		
MELI	342.41	+2.26											9.0		

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Pairs Custom List

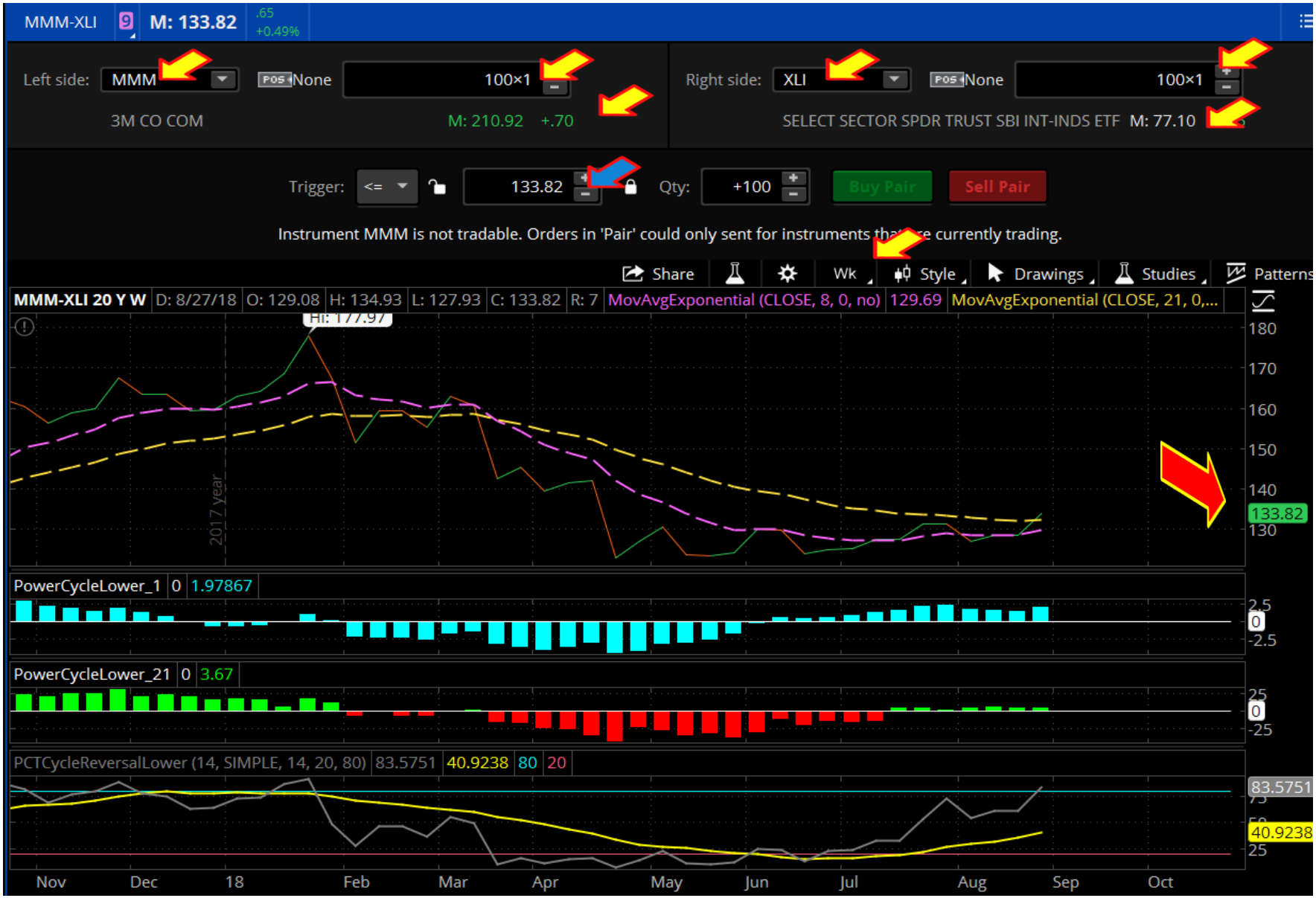
Quotes

New Pairs

Symbol	Last	Net Chng	SqD	TD	SQ4H	T4H	Sq60	T60	Sq30	T30	SQ5	T5	SQ15	SqW	TW	SqM
IBM-XLK	70.88	.49	41.0						7.0		1.0	NaN	19.0	3.0		
MMM-XLI	133.82	.65	0.0	2.0	0.0	0.0	9.0	0.0	21.0	0.0	61.0	0.0	15.0	5.0	0.0	0.0
VLO-XLE	43.44	-.59							1.0			NaN		6.0		
X-XLE	-44.76	.85	5.0									NaN	7.0	7.0		58.0
PSX-XLE	44.07	-.46	7.0		10.0	NaN			5.0		8.0	NaN		8.0		
WMT-XRT	43.77	-.93			2.0		12.0				16.0	NaN	4.0	9.0		
WMT-TGT	8.36	-.43					37.0		22.0		20.0		7.0	11.0		2.0
GLD-GOLD	48.22	.34			10.0		74.0		151.0		10.0	NaN	65.0	13.0		NaN
COP-XOM	-6.74	.21	12.0		35.0		4.0		20.0		3.0	NaN	37.0	13.0		
APC-XLE	-10.04	.53	4.0		9.0		62.0				6.0	NaN	7.0	18.0		NaN
TGT-XRT	35.41	-.50		3.0			31.0		25.0		28.0	NaN	39.0	21.0		46.0
JNJ-GILD	58.96	.30					16.0		38.0		57.0		26.0	24.0		8.0
GILD-SPY	-214.58	-.57			3.0		1.0		7.0		40.0	NaN	17.0	27.0		
DG-XRT	55.64	1.38			9.0		18.0				7.0			28.0		4.0
GILD-XLV	-17.05	-.54			4.0		24.0		47.0		54.0		22.0	32.0		10.0
EOG-XLE	43.79	-.10			8.0		60.0		62.0		5.0	NaN	105.0	34.0		48.0
CVX-XOM	38.29	-1.01			8.0			3.0			59.0	NaN	8.0	41.0		231.0
XOM-CVX	-38.29	1.01			8.0			3.0			59.0	NaN	8.0	41.0		231.0
C-XLF	42.91	-.19			1.0						60.0	NaN	8.0	43.0		4.0
JNJ-XLV	41.91	-.24	59.0				16.0		38.0		49.0		87.0	63.0		20.0
MSFT-QQQ	-74.32	.14	152.0		319.0		49.0		60.0		106.0	NaN	121.0	65.0		83.0
JWN-XRT	10.76	.28			3.0				6.0		10.0			74.0		20.0
PSX-CVX	.05	.31	9.0		33.0	NaN	33.0		14.0		30.0	NaN	2.0	107.0		30.0
MSFT-XLK	36.73	.32	22.0				5.0		21.0		37.0	NaN	3.0	136.0		198.0

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Weekly: MMM – XLI [1x 1]

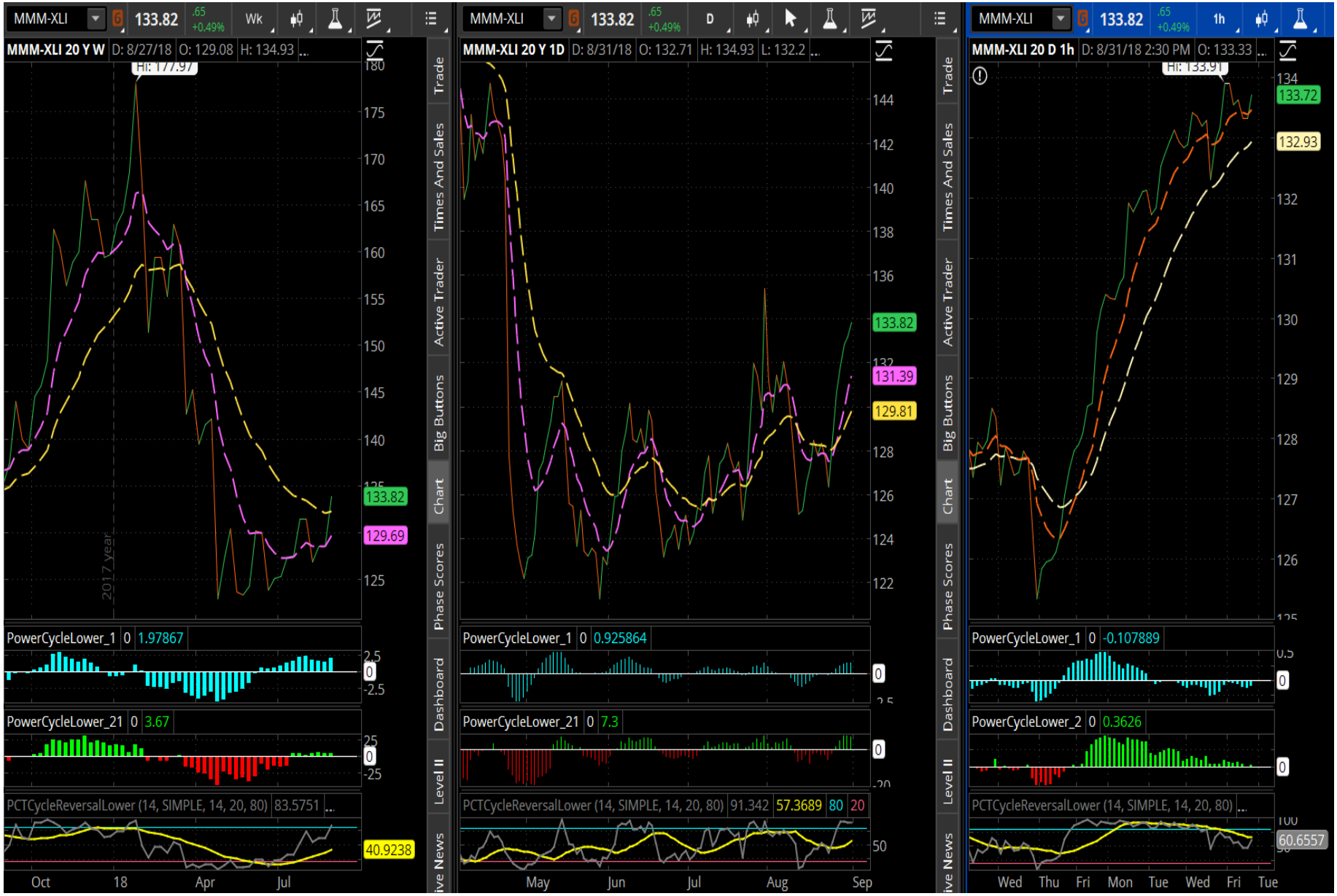


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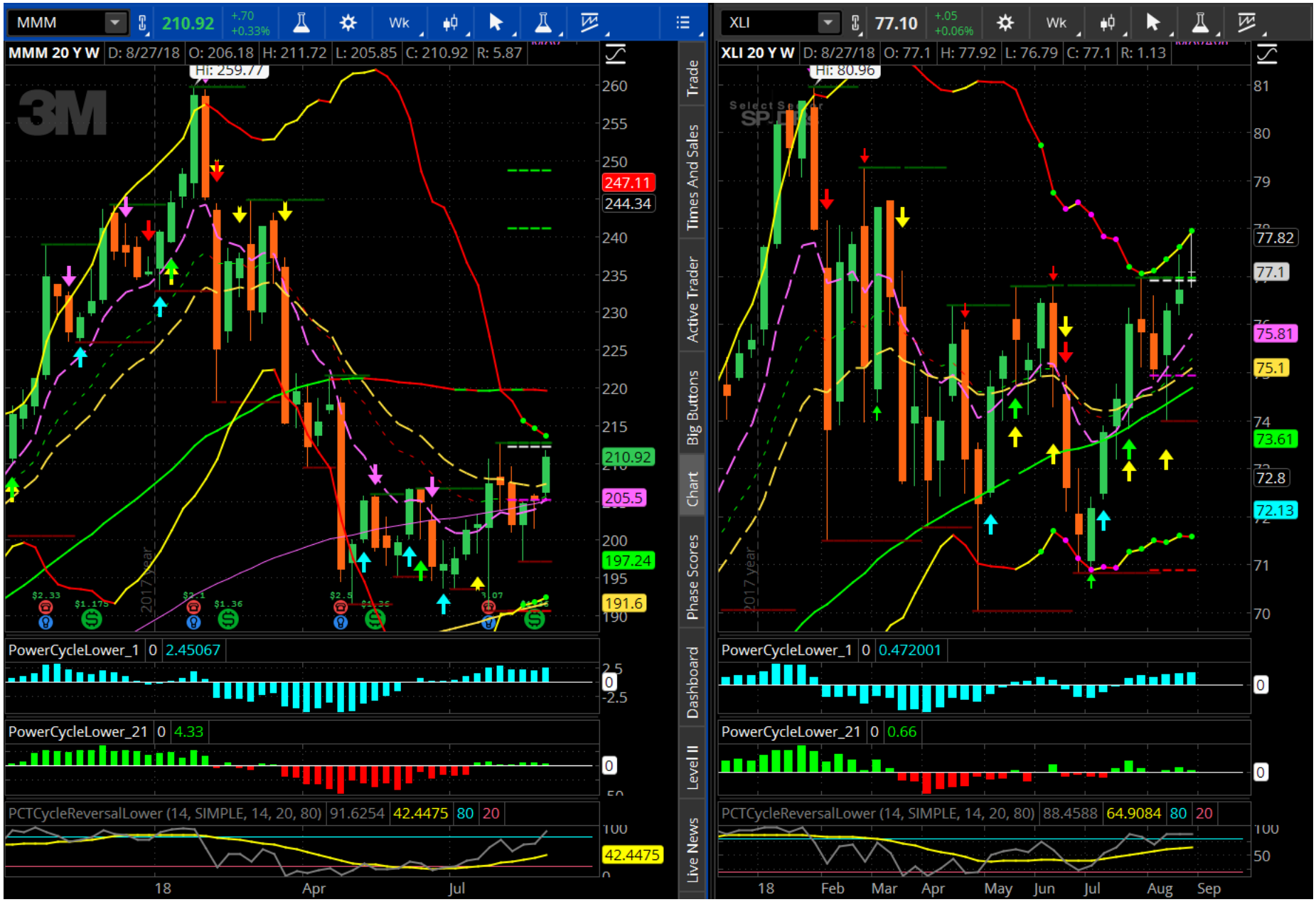
Weekly: MMM – XLI [1x2]



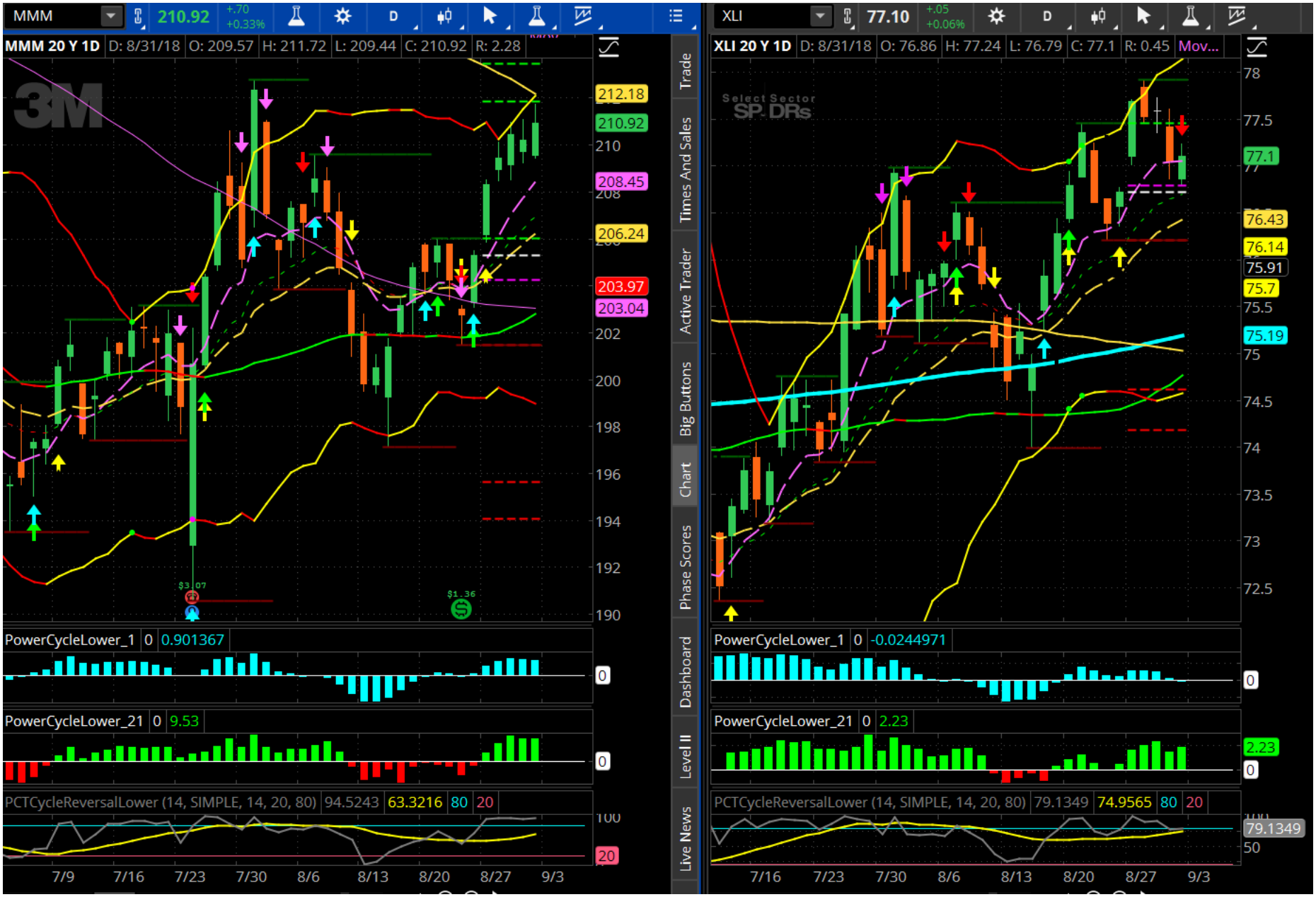
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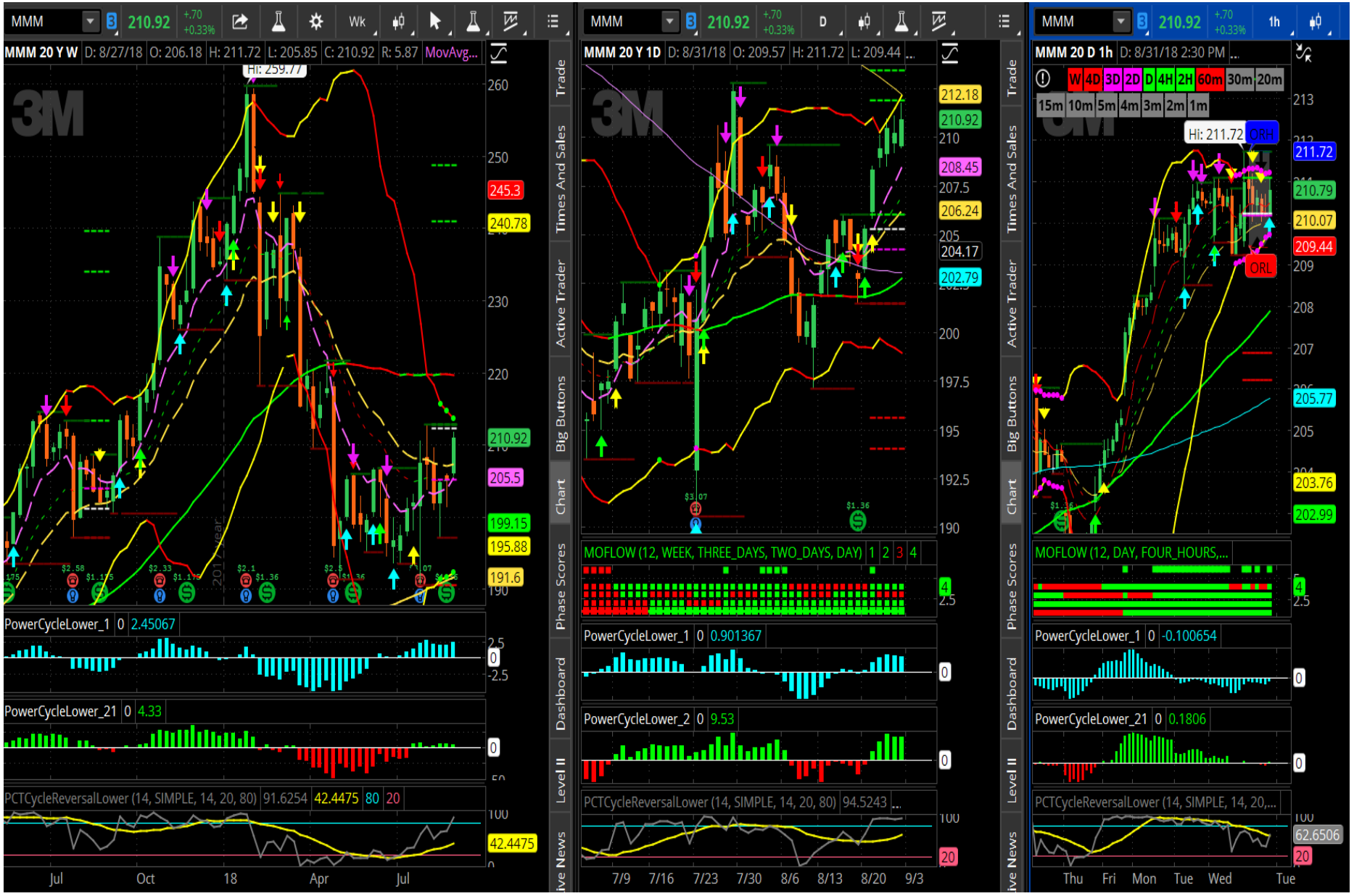
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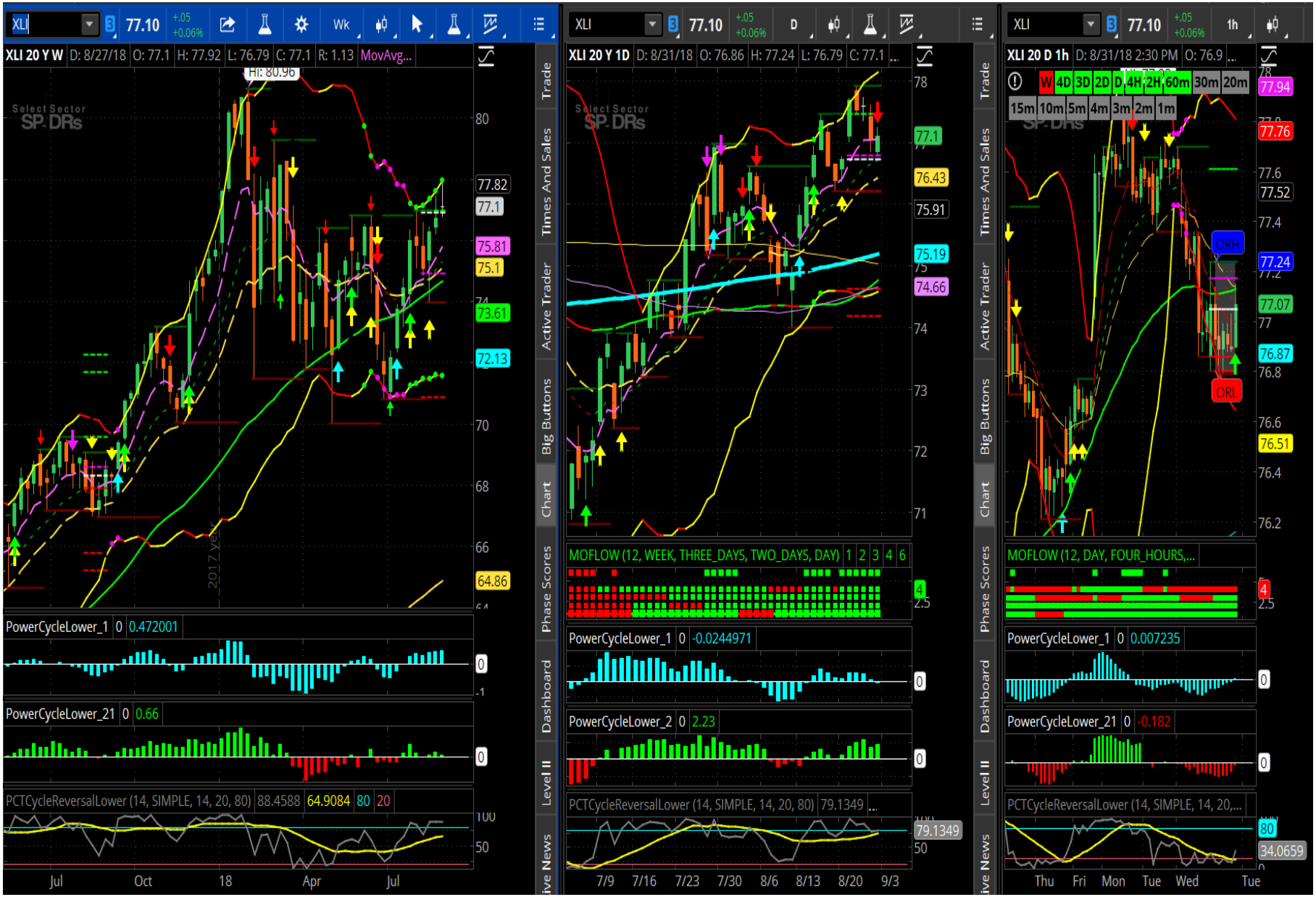
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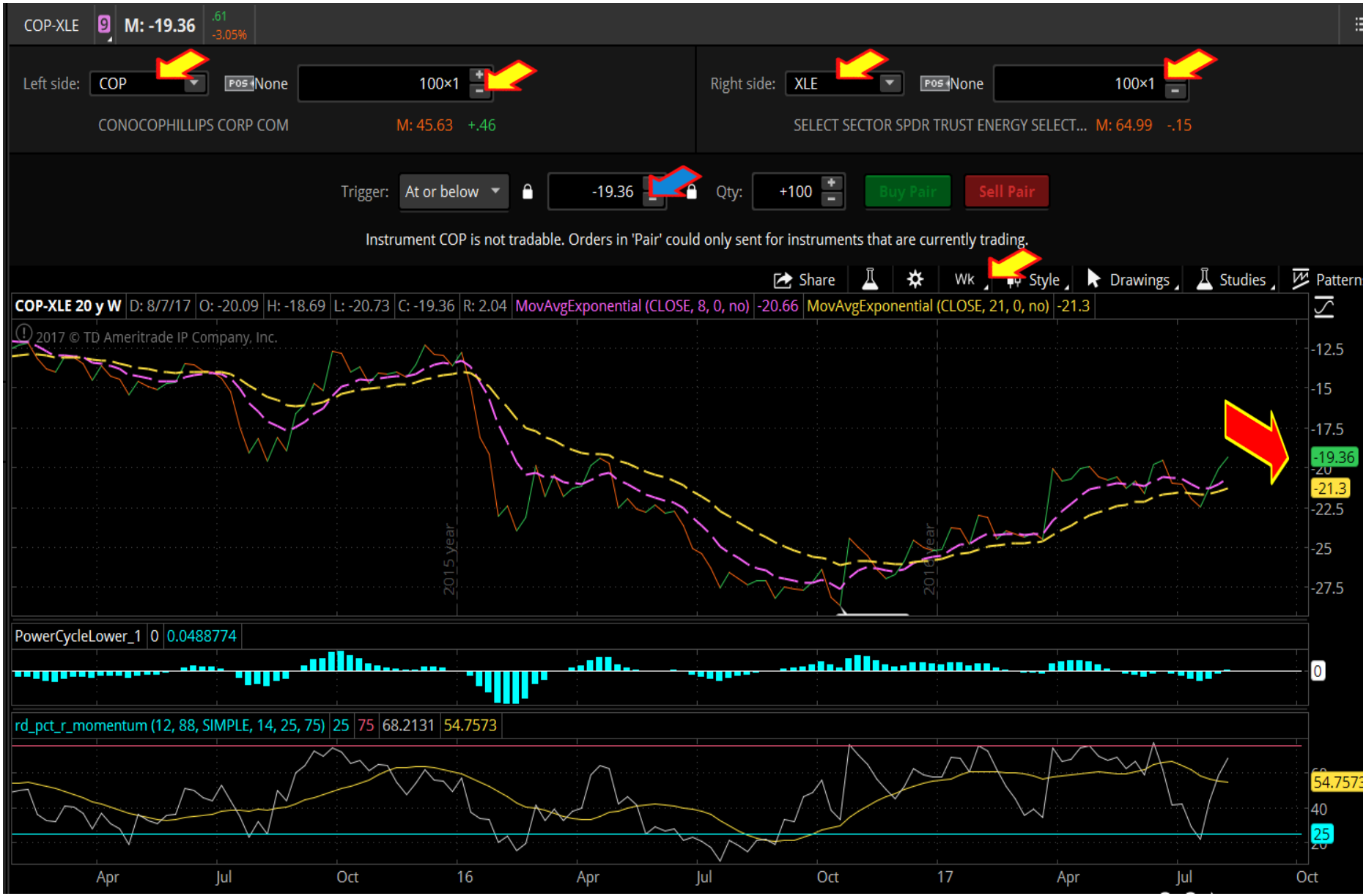


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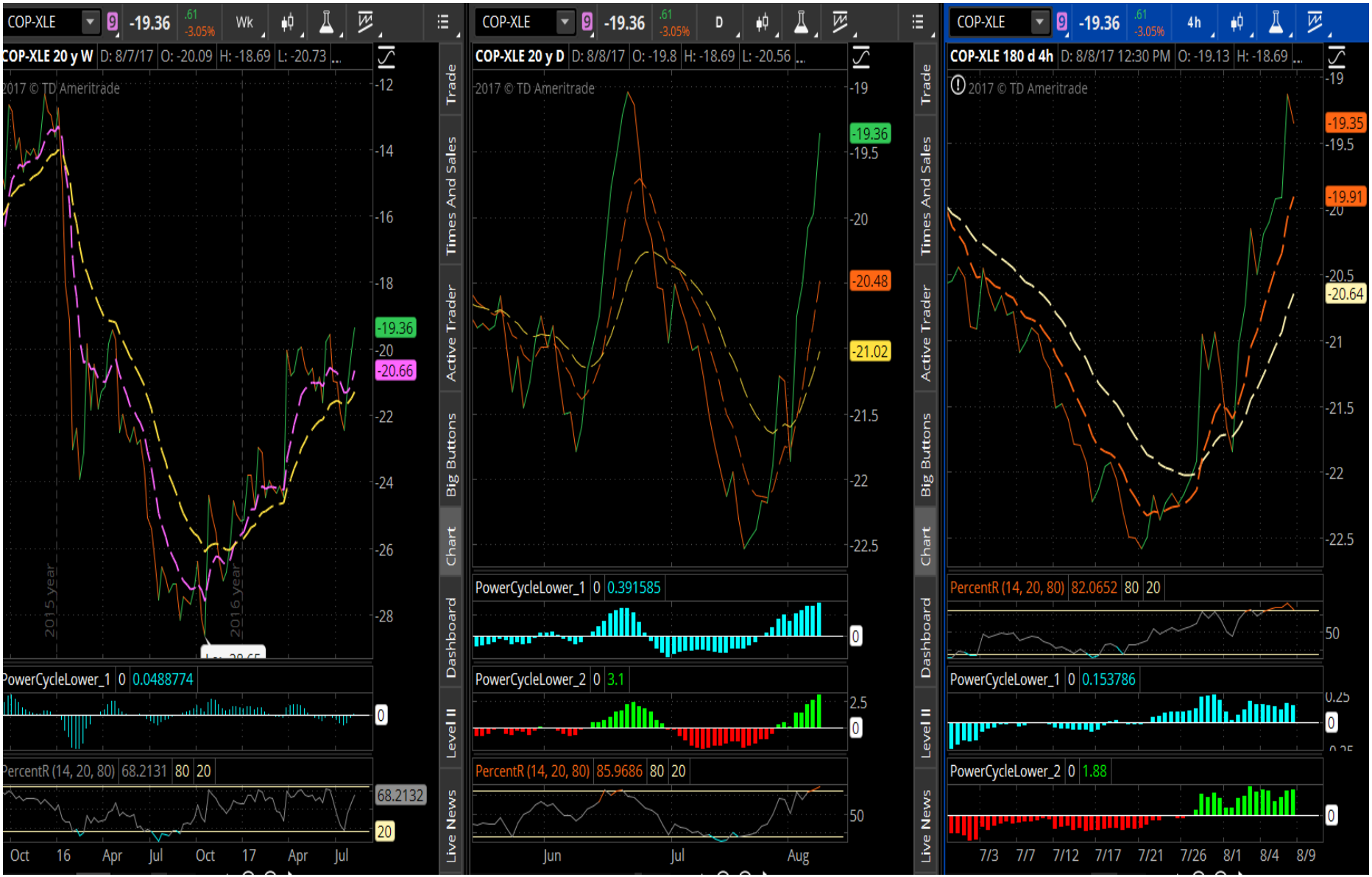


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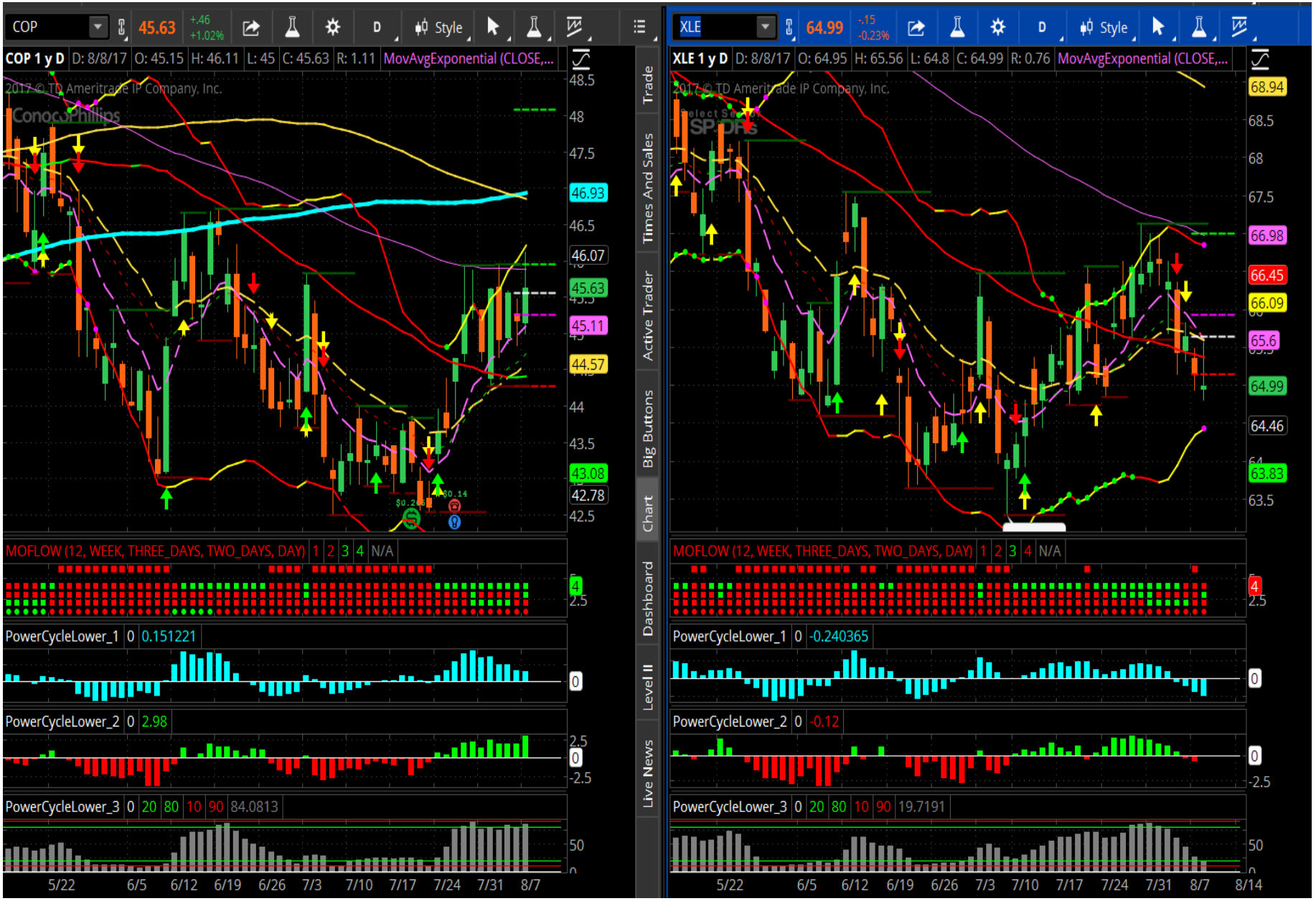
Weekly: COP – XLE



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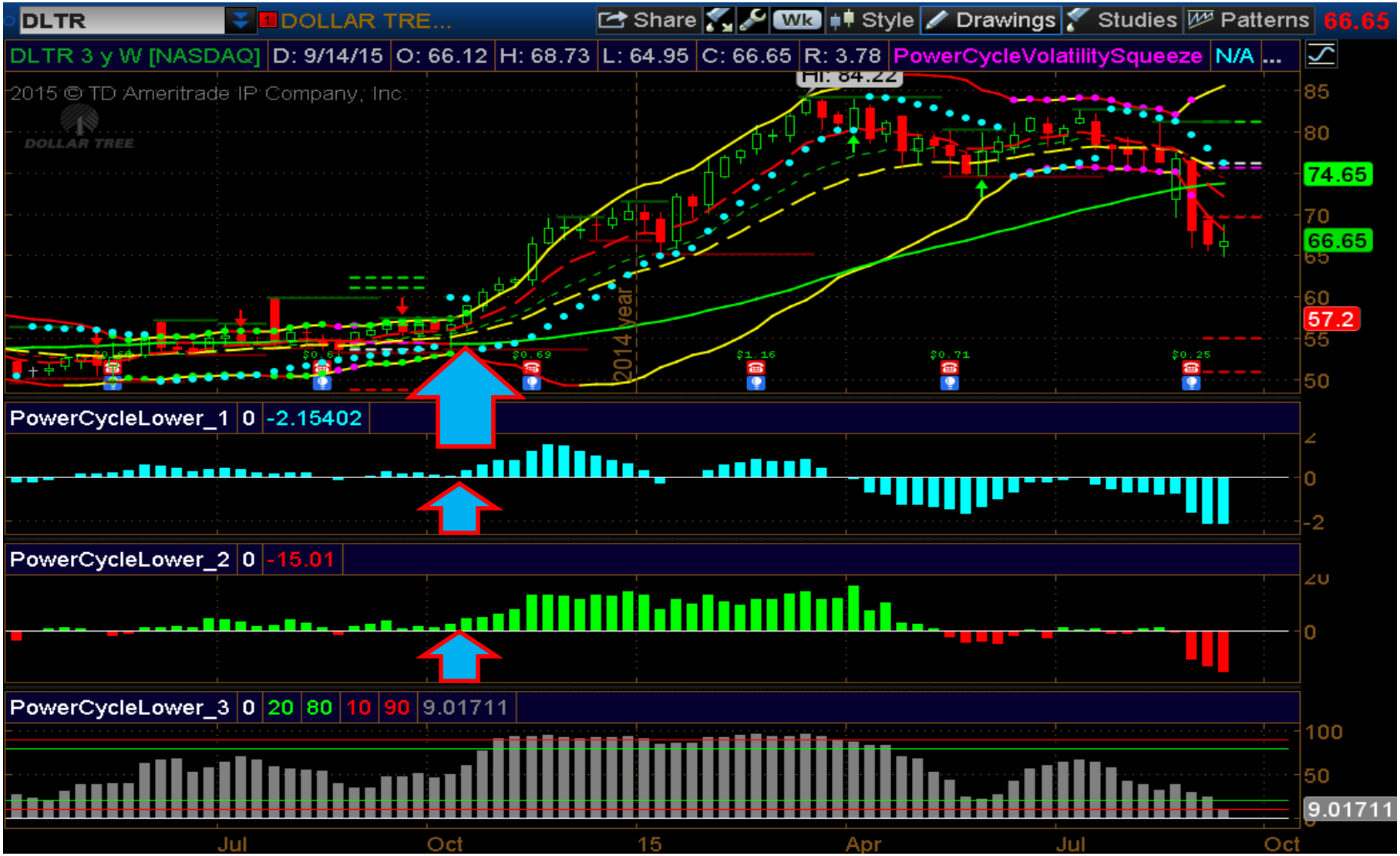


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Weekly Momentum Break Out Catalyst Pairs Trade



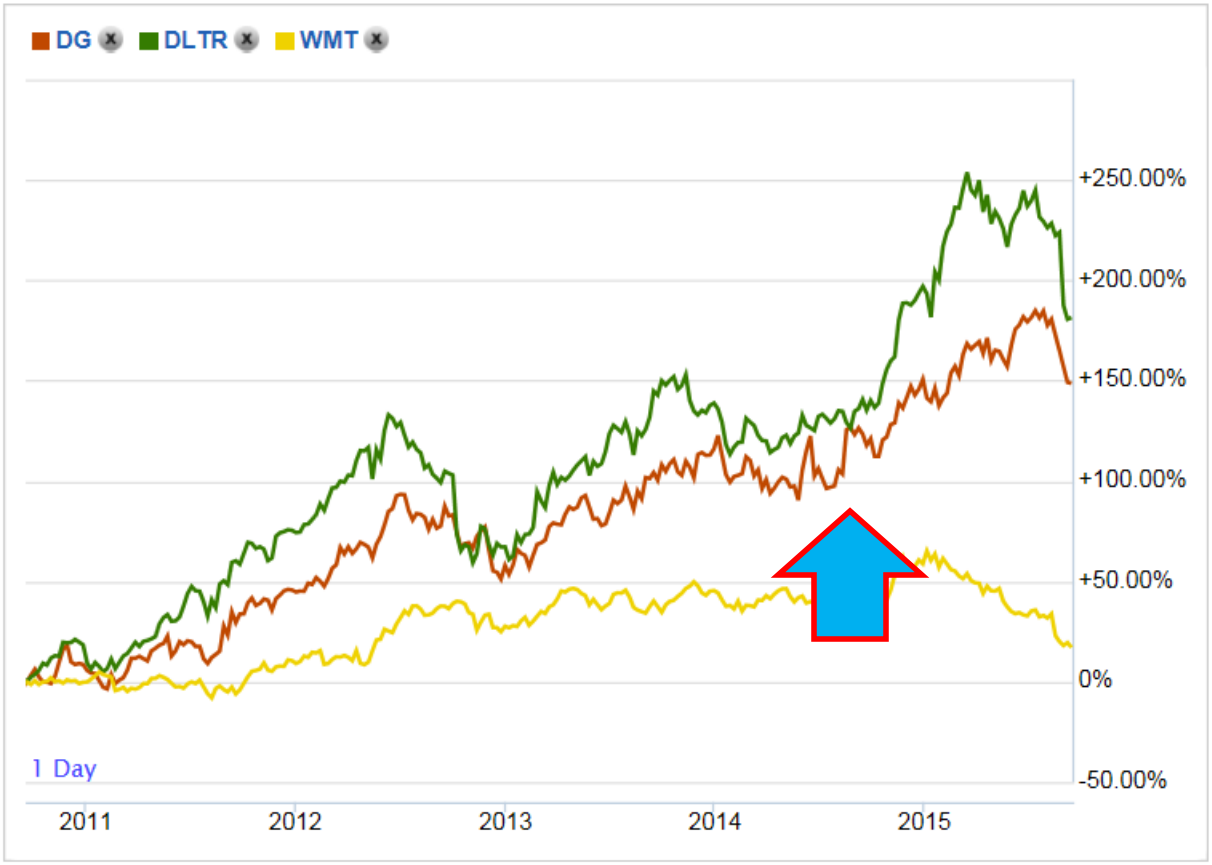
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		DG	DLTR	WMT
DG	Dollar General Corp	1.000	-	-
DLTR	Dollar Tree, Inc.	0.702	1.000	-
WMT	Wal-Mart Stores, Inc.	0.293	0.430	1.000

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Sector Overview | Sector Heatmap | Sector Charting

Select Timeframe: 1D | 5D | 1M | 3M | 6M | YTD | 1Y | 5Y



Select Sector SPDRs

- Consumer Discretionary (XLY)
- Consumer Staples (XLP)
- Energy (XLE)
- Financials (XLF)
- Health Care (XLV)
- Industrials (XLI)
- Materials (XLB)
- Technology (XLK)
- Utilities (XLU)

Compare To Index

Select index...

Compare To Symbol

ADD

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DLTR – DG Spread: Entry Spread Even, High Value $8.29/Sh. Change +$829/100



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DLTR – WMT Spread: Entry Spread -$20/Sh., High Value $11.79/Sh. Change +$6,358/100



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Module 4



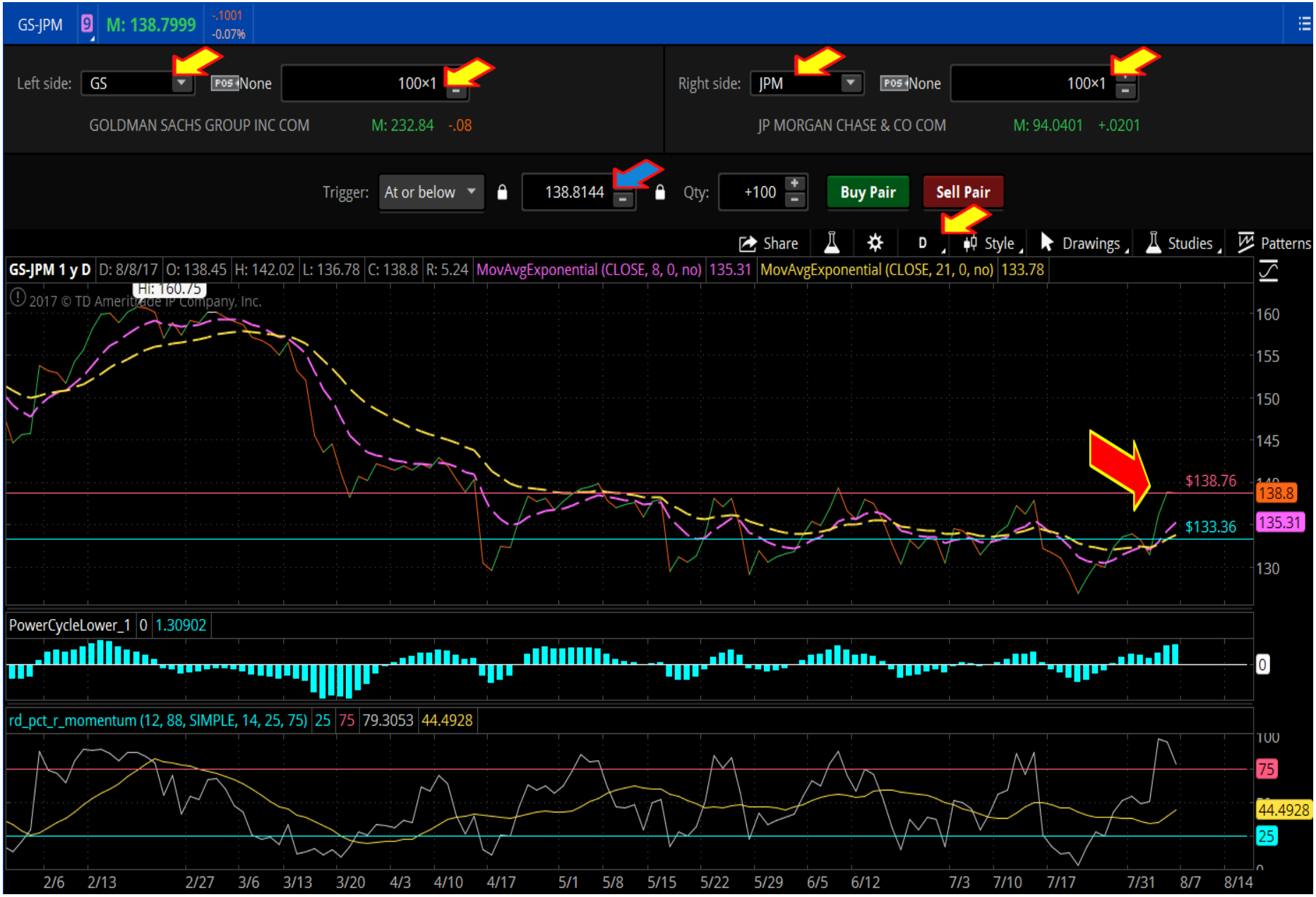
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Step 4.

Trade Execution & Using Synthetic Options



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1. Pairs Trade: Long GS – Short JPM (Per 100 Shares) Leveraged

Long Entry: 8/3 GS trading $226.00 Exit 8/8 at $233.00 = +$7.00/share

Short Entry: 8/3 JPM trading $92.64 ~ Exit at - $94.24 = - **$1.60/share**
$133.36 **$138.76** = **$5.40/share**

P/L = +$5.4/share or $540/100

Pairs Trade Entry 8/3 GS – JPM = +$133.36

8/8 Pairs Exit = +$138.76
P/L +$5.40 or $540 per 100 shares

2. Pairs Trade Ratio: For Closer USD Correlation: Reduced Leverage

GS 1 X 2 JPM

Long Entry GS $226 – [JPM $92.64x2 = $185.30] = Spread +$40.70

Exit GS $233 – [JPM $94.30x2 = -$188.60] = Spread +$44.40
+$7 **-$3.30 =** **+3.70 or $370/100**

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Synthetic Pairs Trade

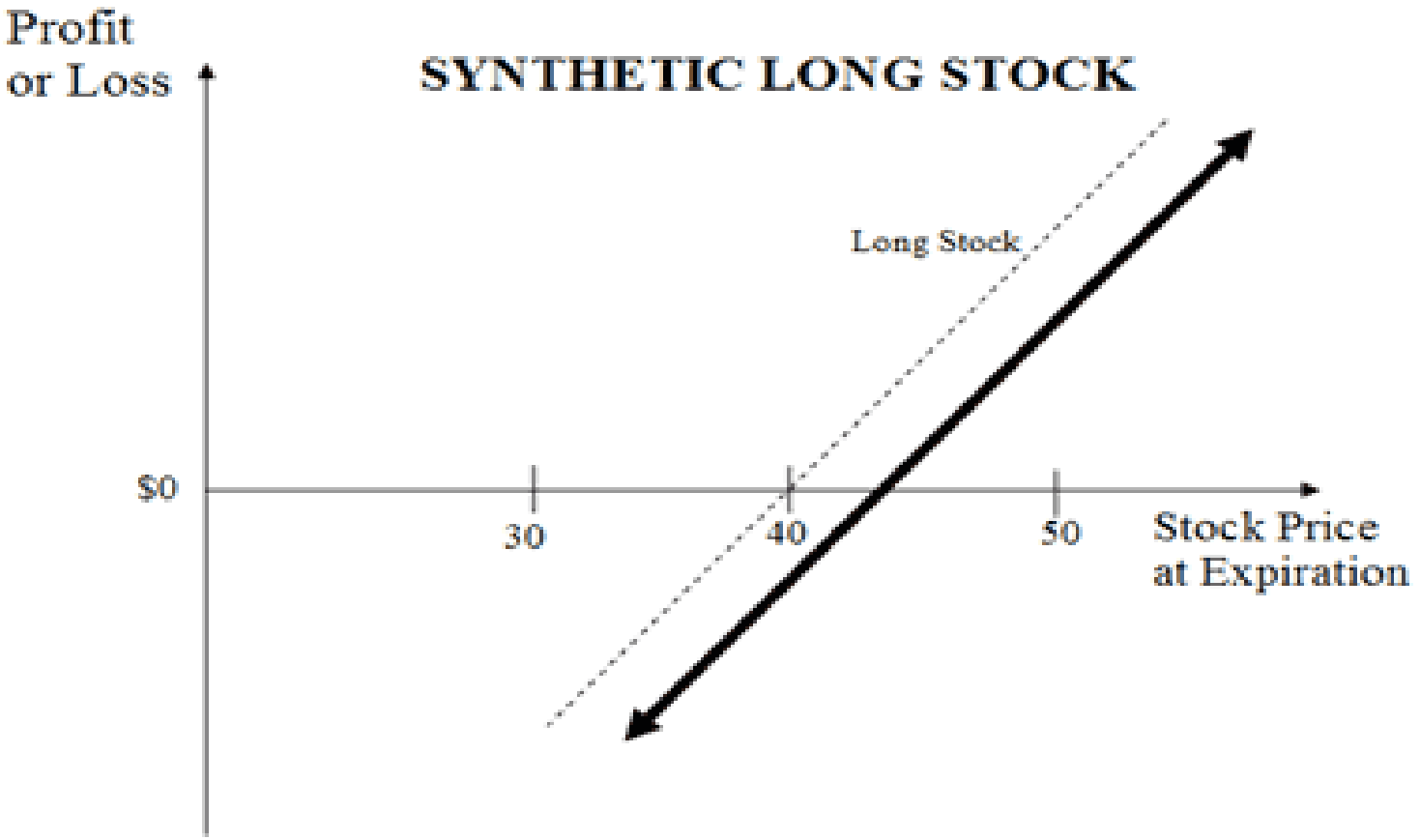
Synthetic Long & Short

The synthetic long stock is an options strategy used to simulate the payoff of a long stock position.

It is entered by buying at-the-money calls and selling an equal number of at-the-money puts of the same underlying stock and expiration date.

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Synthetic Long Stock Construction
Buy 1 ATM Call
Sell 1 ATM Put



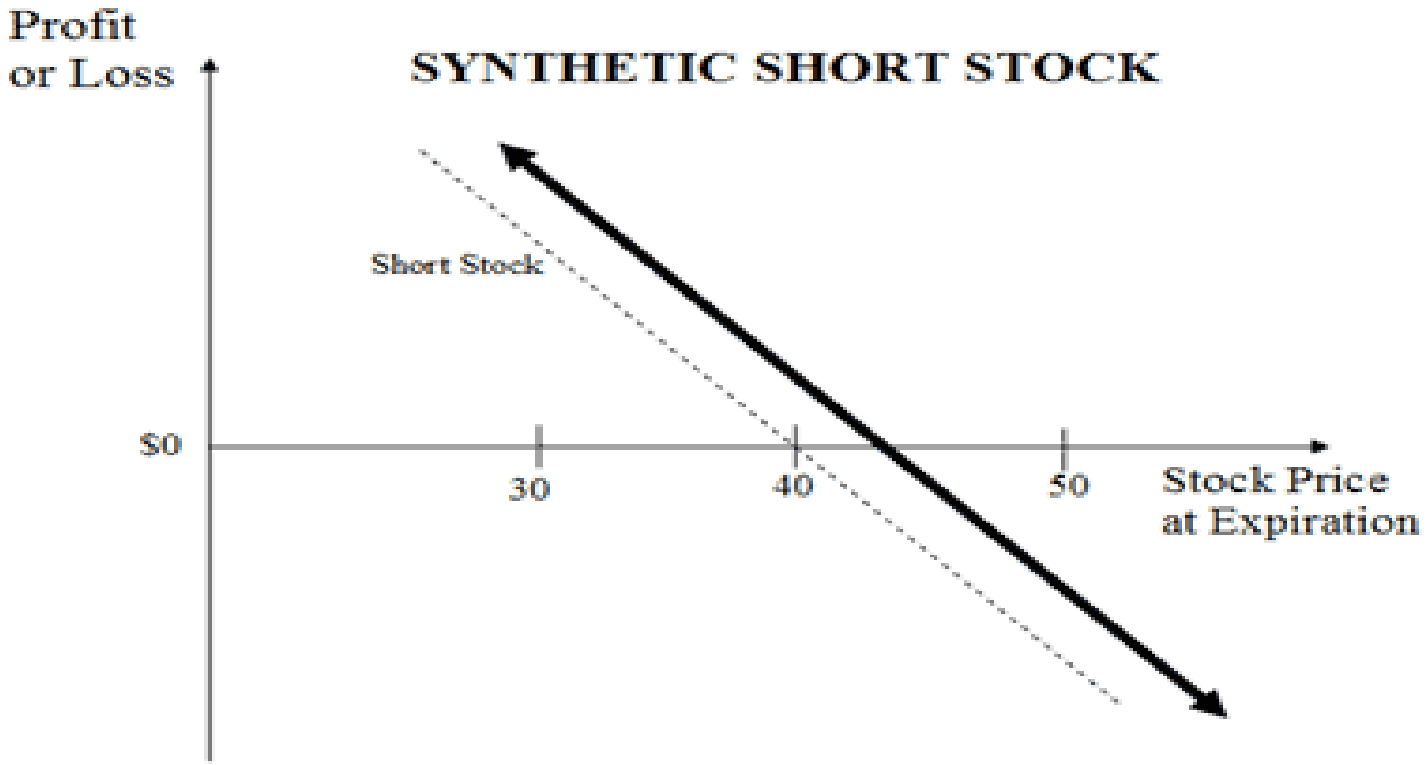
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Synthetic Short

The synthetic short stock is an options strategy used to simulate a short stock position. It is entered by selling at-the-money calls and buying an equal number of at-the-money puts of the same underlying stock and expiration date.

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Synthetic Short Stock Construction
Buy 1 ATM Put
Sell 1 ATM Call



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Advantages vs. Short Stock

Three important reasons make the synthetic short stock strategy superior to actual short selling of the underlying stock.

1. There is no need to borrow stock to short sell.

2. There is no need to pay dividends on the short stock (if the underlying security is a dividend paying stock).

3. A margin account is required for a short (naked) call option but it will usually be (much less) than the 150% Regulation T margin required to short a stock.

So not only can synthetics allow trades that otherwise cannot be done, they usually allow it to be done in a more efficient way by requiring less capital to take the same position.

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Pairs Trade COP & XLE Synthetic Options



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1. Pairs Trade: Long COP – Short XLE (Per 100 Shares)

Long Entry: 8/31 COP trading at $49.15 ~ 9/18 at $48.90 = -$25/share

Short Entry: 8/31 XLE trading at $66.43 ~ 9/18 at $63.47 = +$296/share

P/L = +$271/share

Pairs Trade Entry 8/31 COP-XLE = -$17.28

9/18 Pairs Exit = -$14.57
P/L +$2.71 or $271 per 100 shares

2. Synthetic Pairs Trade:

Long COP Jan 16 $50 Call/Short $50 **Put Credit $145 Exit:** 9/18 at **$171** = -$26/ OP

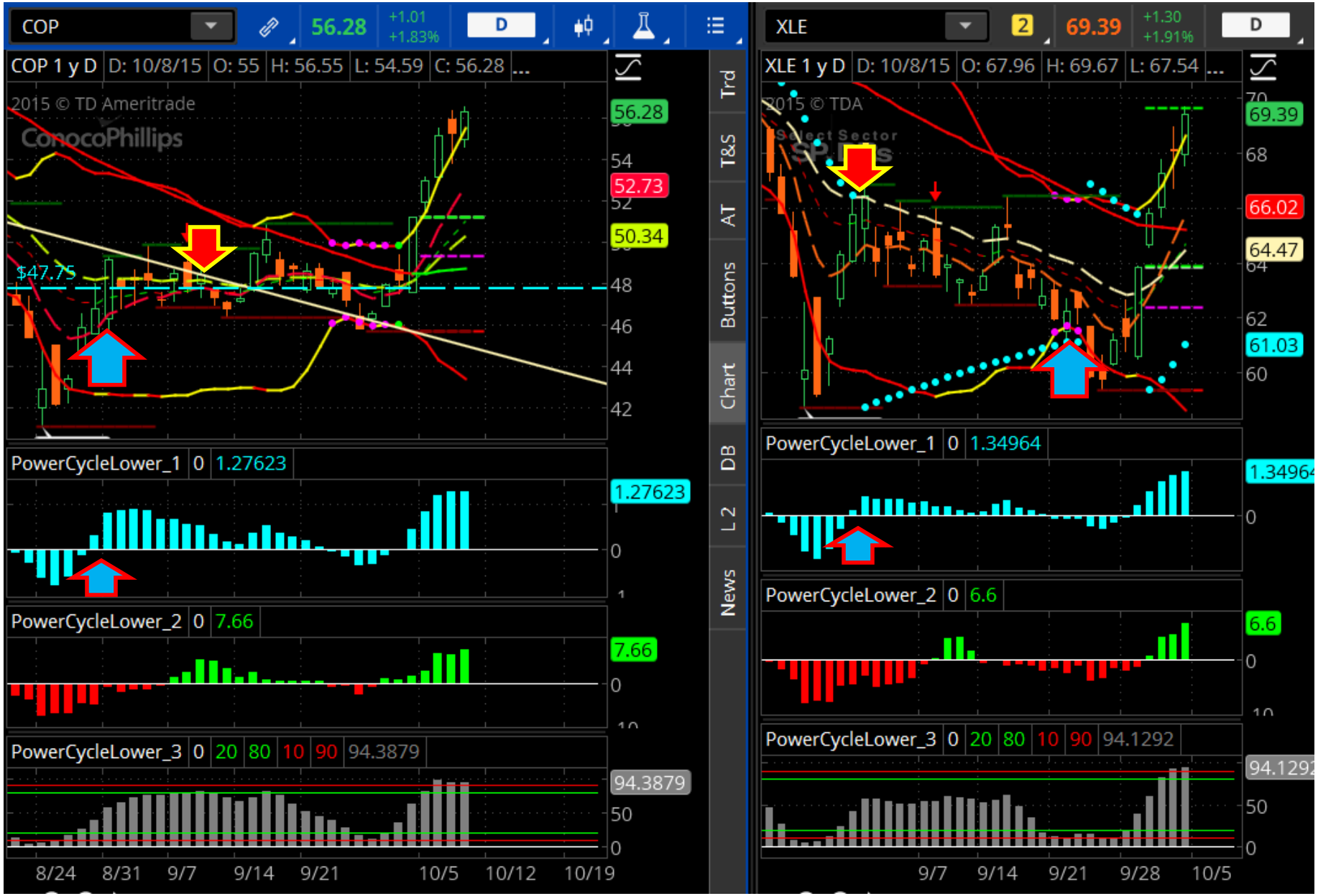
Short XLE Jan 16 $65 Call/Long $65 **Put Credit $65 Exit** 9/18 **Debit $184** = +249/ OP

P/L + $223/ Option contract

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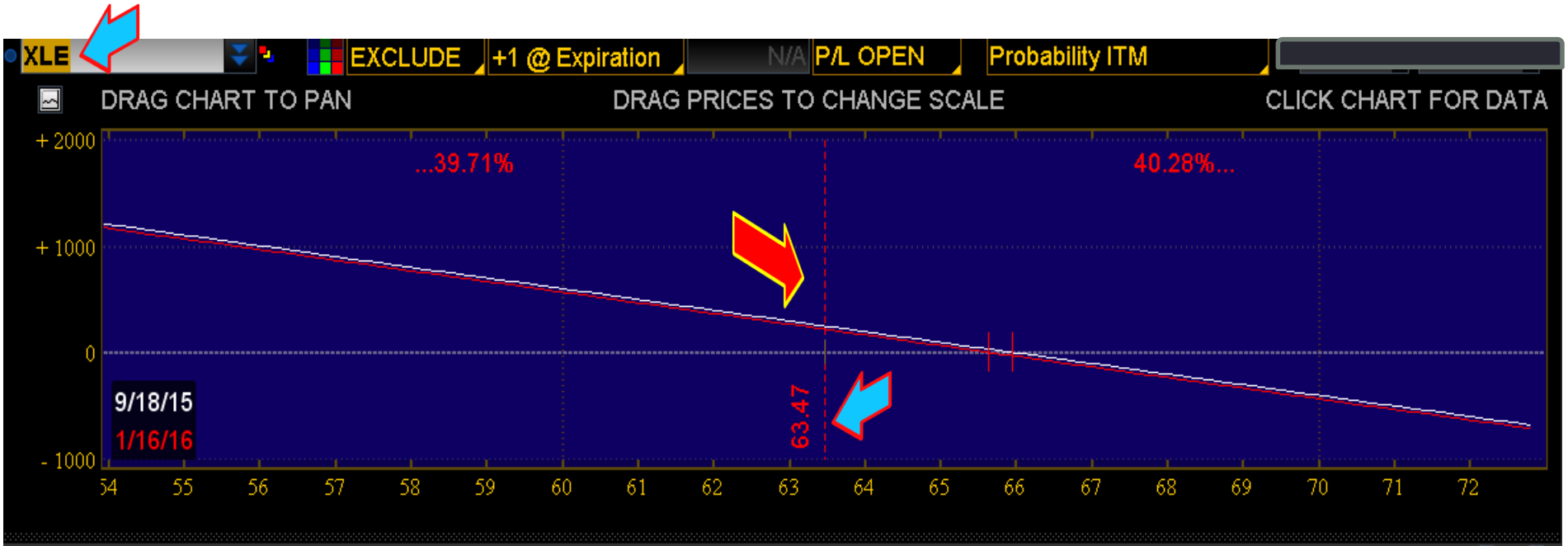
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PRICE SLICES

Stk Price	Offset	Delta	Gamma	Theta	Vega	P/L Open	P/L Day	BP Effect
84.33		-103.64	.65	-.44	3.88	($1,849.04)	($1,849.04)	($3,619.60)
63.47	$0	-100.18	.16	-.35	-.07	$249.00	$249.00	($1,419.90)
51.79	-1σ	-100.43	-.16	-.29	-.62	$1,424.91	$1,424.91	($543.69)

POSITIONS AND SIMULATED TRADES

ALL | Show All | All 1 series | Single Symbol | Model Bjerksund-Stensland | Interest ... | Date ...

Spread	Side	Qty	Symbol	Exp	Strike	Type	Price	Vol	Delta	BP Eff...
XLE										
STK		0	XLE			ETF	.00	11.11%	.00	$0.00
COMBO	SELL	-1	XLE	JAN 16	65	CALL	.65	27.29%	-100.18	-
	BUY	+1	XLE	JAN 16	65	PUT	CREDIT	25.56%		-
COMBO	SELL	-1	XLE	JAN 16	65	CALL	-1.84	27.29%	-100.18	-
	BUY	+1	XLE	JAN 16	65	PUT	DEBIT	25.56%		-

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Here's How it Works

MMM - XLI



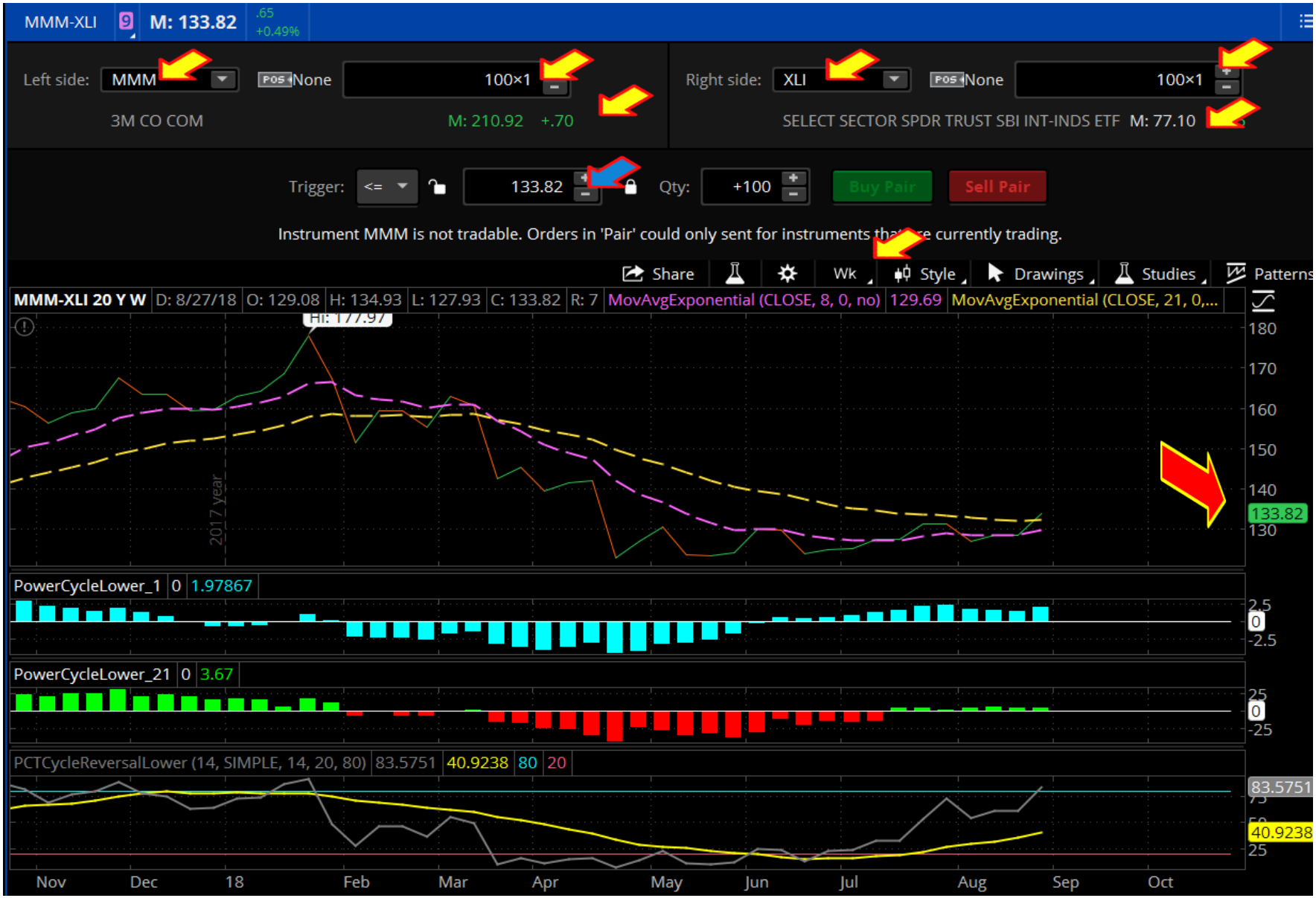
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CORRELATION PLOT TABLE

		MMM	XLI
MMM	3M Company	1.000	-
XLI	SPDR Select Sector Fund - Industrial	0.825	1.000

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Weekly: MMM – XLI [1x 1]



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Module 5



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Trade Management

- Momentum reversal – Trend Line & Moving Avg. Breaks
- Fixed Stops Based on R:R (Subjective): 1:1 Profit target $100/100 Shares ~ Stop $100
- Trailing Profit Stop: Set % Pull Back From a Peak Profit Point on Leg 2 or 3)
- Leg out



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Part I: PCT Trading Model Review

Part II: Pairs Trading

- ***Fundamentals of a pairs trade***
- **How to identify, select & execute the best pairs for trading**

Step 1. Sector Tracker – Identify Sectors & Stocks Moving with momentum

Step 2. Check correlations (correlation tracker & sector charting)

Step 3. Scanning for volatility momentum break outs, building a watch list

Step 4. Trade Execution & using synthetic options

Step 5. Profit take – Momentum reversal & legging out